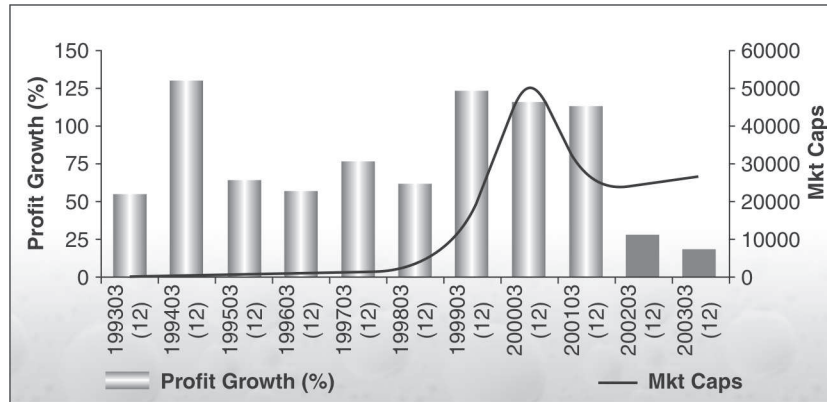




The concept of pattern recognition would make us believe that growth rates will continue at 70–80 per cent. If so, where will the next profit growth bar be? See Fig. 8.4 below.

FIGURE 8.4



Note: Mkt cap calculated on monthly average stock prices

➤ Infosys Profit Growth 1993–2003

Due to a sudden industry slowdown the profit growth dropped below its historical averages. Nothing changed in the company, only the pattern made by the investor went for a toss and the stock was punished. It seems the longer a stock does well, the more confident investors are that the stock will continue to do well. Hence they award it higher and higher multiples, as illustrated in the Figure 8.5.

The company has continued to perform very well and is on a much stronger footing than before.

Investors anchor their future projections on past performances, seeing the future as a repeat of the past. In panic situations our minds may be guided by our emotions. Hence we may under react or overreact. Investing is a fairly emotional activity; hence we must be aware of our senses and our programmed responses to specific situations.